

DESTINY'S CHILD

From youthful freedom to success as a top executive, Varun Jaipuria has ensured the family-run Varun Beverages is in able, strong hands

By **Arnab Dutta** • PHOTO BY **HARDIK CHHABRA**

► **IN 2009, WHEN** Varun Jaipuria returned to India, fresh from completing his studies in the UK, the idea of diving into his family's business seemed distant. Instead, he longed to savour a year of youthful freedom and exploration. But destiny wanted him to walk a different path.

Hailing from a traditional Marwari family, Jaipuria was tasked with overseeing the family's bottling business in Sri Lanka. Fast forward 15 years, and as the Executive Vice Chairman of Varun Beverages (VBL) now, he has plenty to celebrate. Steering a family business to unparalleled success is no easy feat, yet Jaipuria

has achieved what many second- and third-generation businessmen still strive for. At the age of 36, he is one of the youngest recipients of the BT-PwC India's Best CEOs award. He has won in the FMCG category.

Unlike many modern entrepreneurs who flourish in the limelight, Jaipuria prefers to operate away from media attention. However, when it comes to discussing the intricacies of his business in person, he sheds his reserved demeanour.

Consider this: in an age when health-conscious consumers are increasingly eschewing sugary aerated beverages, Jaipuria's VBL, responsible for bottling and distributing nearly the entirety of PepsiCo India's beverage portfolio, has experienced remarkable growth. Between 2021 and 2023, the company's top line surged at a 35% CAGR, soaring from ₹8,958 crore to ₹16,321 crore. Under Jaipuria's direct leadership as CEO of its India and South Asia operations, revenues nearly doubled in two years, from ₹6,596 crore in 2021 to ₹12,633 crore in 2023. Furthermore, despite widespread concerns about inflation, VBL has also managed to improve its margins: from 7.42% in 2019, its standalone net profit margin has jumped to 14.05% in 2023.

Since Jaipuria assumed leadership of the domestic territory, which contributes approximately 80% to VBL's top line, its market capitalisation has surged fourfold to ₹1.97 lakh crore (as of February 23, 2024). This remarkable growth stems from a pivotal shift in the company's operations, which is the re-franchising initiative spearheaded by PepsiCo India in 2019. This move effectively doubled VBL's addressable territory in India. Previously serving roughly half of the Indian market, VBL acquired a significant portion of PepsiCo India's territories, expanding its coverage to over 92%.

But all this was before the pandemic. With the outbreak of Covid-19, disruptions jolted VBL's daily operations. And that is when another chapter unfolded.

FMCG

VARUN JAIPURIA

EXECUTIVE VICE CHAIRMAN, VARUN BEVERAGES LTD

Revenue from operations	CY23	16,321.1
	CY22	13,390.6
Profit before tax	CY23	2,739.4
	CY22	2,023.6
Profit after tax	CY23	2,101.8
	CY22	1,550.1
	CY22 RoE (%)	33.77
	Market Cap	1,96,812.5

● Data is on a consolidated basis; all figures in ₹ crore except RoE; Varun Beverages follows a January-December financial year

● M-cap as of February 23, 2024

● **Source** ACE Equity, BSE